

tempting to put your emergency fund into the stock market, but that's greed taking over rationality.

Another benefit of having an emergency fund is so you don't draw down your stocks every time there is an emergency. An investing portfolio shouldn't be treated like another bank account you can pull money from every time you want to make a purchase. By pulling out your money, not only do you trigger fees, but also taxes and the opportunity cost of compound interest.

You don't want to have to sell your stocks every time there is an emergency. By having an account dedicated to emergencies, you're taking care of yourself financially. Save yourself up an emergency fund before you begin investing.

Brick #5: Sort out your retirement account

You may be in the US or UK, in India or New Zealand — wherever in the world you're reading this from, it is almost guaranteed that your employer has a government-issued retirement scheme where your employer matches your contributions (or at least some part of your contributions).

In simple terms, if you sacrifice 3 per cent of your salary to your retirement account, your employer puts the same amount again into that account. That is a 100 per cent return on your money. It is unlikely the stock market or cryptocurrency could ever guarantee a 100 per cent return on investment (ROI).

You may be wondering what the point of this is. The government in your country understands the importance of you having a nest egg for retirement. They don't want you to be without money when you reach 65, so they will ask employers to match your contributions as a way of encouraging you to save.

People often ask how much of their income they should contribute, as most countries offer a range from 3 per cent to even 8 per cent or more. The answer is simple: contribute the minimum amount for maximum employer contribution. If your employer only gives up to 6 per cent, you only match 6 per cent. Otherwise, anything extra you add gets locked into the retirement fund.